

NORTHWEST HORTICULTURAL COUNCIL
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October 20, 2022

William Cody
Secretary, Federal Maritime Commission
800 North Capitol Street, N.W.
Washington, DC 20573

Re: Federal Maritime Commission Docket No. 22-24, “Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Carrier”

Dear Secretary Cody:

The Northwest Horticultural Council (NHC) writes today in response to the request for comment by the Federal Maritime Commission (FMC) on the proposed rule defining unreasonable refusal to deal or negotiate on vessel space on an ocean carrier.

The NHC represents the growers, packers, and shippers, of deciduous tree fruit in Washington, Oregon, and Idaho. Our growers produce 69 percent of the apples (supplying 78 percent of the U.S. fresh market), 88 percent of the fresh pears, and 69 percent of the fresh sweet cherries grown in the United States. Each year more than 25 percent of the overall crop is exported each year to the benefit of consumers around the globe.

Exporters of apples and pears rely on containerized ocean shipping to reach overseas markets. The port congestion and shipping challenges experienced by our industry over the last few years has underscored the importance of efficient ocean service and access to ocean vessels. Meanwhile, the substantial increase in empty containers returning to foreign ports has illustrated the lack of ocean carriers’ interest in serving U.S. exporters, despite their common carrier roles.

These challenges made clear the need for increased oversight of this industry by the FMC, as well as for improved protections for U.S exporters. The Ocean Shipping Reform Act of 2022 (OSRA) acknowledged this need and provided authority to the FMC to act and support U.S. exporters. The FMC must use the authority provided in this law to ensure carriage of export containers – which was the intent of OSRA.

Unfortunately, this proposed rule falls short of that objective. As it is currently drafted, the proposed rule would allow carriers to continue to reject export loads and leave U.S. ports with empty containers. The NHC contends that exporters should not be denied service as long as there is space on a vessel, the cargo can be provided in a timely manner, and the cargo can be safely

loaded and carried. To reflect this, the proposed rule must be revised to limit exceptions and clearly define when it is unreasonable, and thus prohibited under OSRA, for carriers to deny service.

Thank you for the opportunity to provide comment regarding this matter. We encourage the FMC to strengthen and promptly finalize this rule to ensure U.S. exporters are not denied service by ocean carriers.

Sincerely,

NORTHWEST HORTICULTURAL COUNCIL

A handwritten signature in black ink, appearing to read "Riley Bushue". The signature is fluid and cursive, with the first name "Riley" and last name "Bushue" clearly distinguishable.

Riley Bushue
Director of Congressional Relations and Export Programs